BEFORE THE HONOURABLE DEBTS RECOVERY TRIBUNAL, COIMBATORE

I.A. No.2677/2024

S.A. No.610 OF 2024

B Mohanaraj S/o Late.Baktavatsulu,
Old No. 74/2, New No. 12 First Main Road,
Raja Annamalaipuram Chennai-600 028 - Applicant

-Vs-

Broadway Megaaplex Pvt. Ltd.,
Rep by its Director V.R.R Satish Kumar,
96, Broadway square,
Avinashi Road Aerodrome Post,
Coimbatore - 641014 - Defendant No. 4

WRITTEN VERSION FILED BY DEFENDANT NO. 4/ RESPONDENT NO. 4

1. The present petition is false, frivolous and unsustainable in law and on facts of the case.

2. The petitioner is put to strict proof of all the allegations except those that are specifically admitted herein.

3 . The averments is paras 5 and 6 of the application that the entire property measuring 1.95 acres 160 sq.ft. originally belonged to one Ramasamy Naidu who was running Central and Kanagathara Theatres within the said campus and whileso, the said Ramasamy Naidu settled a portion of property measuring 992 sq.ft to his second wife namely Kanagavalliammal under Settlement Deed dated 06.05.1985 and thereby she had been in possession and enjoyment of said property and as such, the said Settlement Deed was acted upon etc., are all not admitted by this respondent as correct which the applicant is put to strict proof of the same.

4. The averments in para 7 of the application that the said Kanagavalliammal bequeathed the said property of 992 sq.ft to the applicant herein under Will dated 19.12.2003, registered as Doc.No. 591/2003 and the said Will came into force after her death and thereby the applicant became the owner of said property and also in possession and enjoyment of the same etc.. are all not admitted by this respondant as correct, which the applicant is put to strict proof.

5. The averments in para 8 of the application that the first wife of Ramasamy Naidu had a son by name Balasubramaniam who in turn with intent to grab the entire property, with ulterior motive started to give trouble to Kanagavalliammal and in the meanwhile, the said Balasubramaniam died and thereafter his son namely Sreeraj @ Ramachandran started to give troubles to Kanagavalliammal and later on, he filed a suit in C.S.No. 289/2006 before The Hon'ble High Court Madras, which was dismissed on 05.12.2018 and applicant also filed O.P.No. 743/2010 before Hon'ble High Court Madras, for granting

Letter of Administration which was allowed on and 08.06.2012 and in which Sreeraj@ @Ramachandran was a party and thereby he had knowledge about the aforesaid Settlement Deed executed in favour of Kanagavalliammal and also the Will executed by her in favour of the applicant etc., are not admitted by this respondant as correct, which the applicant is put to strict proof.

6. The averments in para 9 of the application that the applicant is employed in the USA since 2008, but having permanent residence at Chennai and whileso, the applicant came to know that the said Sreeraj and his wife Sudha Sreeraj towards availing various credit facilities from first defendant bank by giving the said entire property of 1.95 acres 160 sq.ft. as security under mortgage which Includes applicant's property of 992 sq.ft and the second defendant and her husband Sreeraj had no right to mortgage the applicant's property which happened in collusion with first defendant bank, in order to grab applicant's property which is illegal etc., are not admitted by this respondant as correct, which the applicant is put to strict proof.

7. The averments in para 12 to 14 of the application that the said Sreeraj @Ramachandran and his wife did not pay the loan promptly and as such the said property was sold to this respondent under E-auction sale held on 22.08.2023 under the SARFAESI Act which is not binding on applicant since he is not a broker or guarantor to any loan transactions and in fact applicant property also sold and the applicant came to know two S.As viz S.A.No 865/2021 and S.A.No. 586/2023 filed earlier by second respondent which are now pending and the daughter of Sreeraj @Ramachandran was included as legal heir since he died etc., are of not admitted by this respondent as correct.

8. The averments in paras 15 and 16 of the application that the applicant visited his property on 21.06 2024 and at the time, he came to know that the entire property was taken over by the first defendant bank and in fact, the applicant was a total stranger to loan transaction and he never mortgaged any portion of his property to bank and as such the first defendant bank has no right to prevent the applicant from enjoying his property and the first defendant also cannot prevent his entry to his property and thereby he became constrained to file the present appeal as well as Interlocutory application for injunction etc, are not admitted by this respondent as correct.

9. The averments in para 17 of the application that the said Sreeraj @Ramachandran had no right to give entire property as a security except his property towards availing loan and thereby under, Sec 2 of The SARFAESI Act, it is not deemed security and the applicant was dispossessed illegally by first defendant bank and thereby, the applicant was unable to enjoy has property which cased mental agony and thereby, he is entitled to get damages of Rs. 30,00,000/- from defendant are all not admitted as correct.

10. The averments in para 18 of the application that the first defendant bank took possession of property with the assistance of Advocate/Commissioner as per the order of Hon'ble Learnt Chief Judicial Magistrate Coimbatore which was obtained by

misrepresentations or fraud and collusion and thereby the said order per se unsustainable etc., are all stoutly and categorially denied by this respondent as false.

11. The averments in para 19 of the application that the legal proceeding initiated by first defendant bank was illegal in bringing the property for sale and its taking possession including applicant's property and thereby the applicant became constrained to file the above appeal on the grounds setout therein are not admitted by this respondent as correct.

12. The averments in Grounds on Appeal that the demand notice issued under Sec 13(2) of The SARFAESI Act dated 08.02.2017 suffers material irregularities and illegalities and thereby to be declared as null and void etc., are stoutly and categorially denied by this respondent as false. So also the averments that proceeding of bank under Sec 13(4) of The SARFAESI Act and Sale Notice dated 24.07.2023 all to be declared to be void and the applicant was not a Guarantor towards loan availed by Sreeraj @ Ramachandran and thereby his property cannot at all be mortgaged along with entire property since the aforesaid 992 sq.ft. belongs to applicant as per the Will dated 19.12.2003 and the applicant is owner of the property after the death of Kanagavalliammal which is followed by Letter of Administration issued by High Court of Madras in O.P.No. 743/2010 dated 08.06.2012 and the first defendant bank without verifying title, created equitable mortgage over the entire property though the encumbrance certificate reveals the entry Settlement Deed in favor of Kanagavalliammal and thus the first defendant ought not to have created charge over applicants property and thus the entire proceedings of creating mortgage over all the property vitiated by law and thereby declared to be void etc., are stoutly and categorially denied by this respondent as false.

13. The averments that due to the act of first defendant, the applicant put to irreparable hardship and loss and thereby sustained mental agony unnecessarily for which all the defendants have to pay damages at Rs. 30,00,000/- and the relief sought for by declaring the mortgage created by bank as not valid and also all proceedings taken by bank under SARFAESI Act declared to be null and void and as such the applicant is entitled for all the reliefs setout therein etc., are stoutly and categorially denied by this respondent as false.

14. At the outset, this respondent submits that it is an auction purchaser of entire property and thereby it has no connection whatsoever prior to auction sale and as such this respondent stoutly denies the claim of damages as against it. Without prejudice to the above, this respondent submits that the respondent no. 2 along with her husband Sreeraj @ Ramachandran availed various loan facilities for their business concern by name M/s Central and Kanakadhara Theatres long back upon the security of 1.95 acres 160 sq.ft and as they could not repay the outstanding, the loan account was classified as NPA and the first respondent also issued a notice under Section 13 (2) of The SARFAESI Act dated 29.10.2018 by claiming an outstanding of Rs.3,06,27,644/- as on 30.09.2018 and on failure of respondent no. 2 and her husband to comply with the demands therein, they served with possession notice under Section 13 (4) of The SARFAESI Act dated

05.03.2019 and despite it, the respondent no. 2 and her husband failed to pay the outstanding and as such, the first respondent bank caused sale notices on earlier occasions and in order to stall the recovery proceedings, the respondent no. 2 and her husband already filed two S.As viz., SA.No 865/2021 and S.A. No. 293/2023 and in both S.As, the respondent no. 2 and her husband did not comply with conditional orders passed by this Hon'ble Tribunal by directing them to deposit part sum towards discharge of debt and subsequently the bank was unable to proceed further for recovery of the outstanding.

16. Whileso, the bank took physical possession of the entire property on 17.03.2023 as per the orders issued by Leamed Chief Judicial Magistrate, Coimbatore and thereafter issued notices on 23.03.2023 and 01.04.2023 by informing the respondent no. 2 and her husband to pay the debit or otherwise the bank would proceed as per rule 8(6) and rule 9(1) of The SARFAESI Act for bringing the property for sale which was challenged by them in S.A.No.293/2023 as the bank caused a sale notice dated 28.04.2023 in furtherance of above sale intimation. It is pertinent to note here that the reserve price of the said property was fixed as Rs.65 crores and this Hon'ble Court was pleased to pass conditional order by directing the respondent no. 2 and her husband to pay a sum of Rs.3.50 crores in two instalments which they did not comply and nevertheless as there was no sale for want of bidders the said second SA become infructuous. Thus, on every occasion the respondent no. 2 and her husband took advantage of circumstances which caused delay to bank in realizing its money by bringing the property for sale.

17. Whileso, the bank caused the third sale notice on 24 07.2023 by fixing date of sale as 22.08.2023 and the upset price was fixed as Rs.57 crores and in said E-Auction sale, this defendant became successful bidder and paid a sum of Rs. 14,28,75,000/- as 25% bid amount and was also ready to pay the balance. However, this Hon'ble Court was pleased to grant conditional order by directing the respondent no. 2 and her husband to pay a sum of Rs. 5.30 crores in two instalments which they complied but failed to pay the remaining sum (without prejudice). Thus, the sale in favour of this defendant was yet to be confirmed due to pendency of the above appeal.

18. This defendant submits that they being successful bidders complied with payment of 25% of auction money and they are also ready to pay the balance sum of Rs. 42 crores for which they already obtained loan sanctioned letter from HDFC bank which all would prove that this defendant is ready to complete the auction sale as a successful bidder as per E-Auction sale held on 22.08.2023.

19. This defendant most humbly submits that it is well settled law that once sale notice issued, the right of borrowers to redeem the mortgage becomes extinguished under Section 13 (8) of The SARFAESI Act. This defendant most humbly submits that the respondent no. 2 and her husband were given several chances to pay the debt since 2019 when their account became NPA Wheroas, despite all chances, the respondent no. 2 and her husband have no intention to settle the outstanding as on date. This defendant further submits that the bank caused third Sale Notice to bring the property for sale and

as a condition precedent the bank sent due notices under Section 13 (2) and 13 (4) of The SARFAESI Act. So also, the bank took physical possession through court which procedures were not challenged by the respondent no. 2 and her husband.

20. This defendant submits that the applicant herein is well aware all the aforesaid proceedings and having known that the sale notice issued by the first defendant bank cannot at all be challenged under law, now the applicant, by colluding with the second defendant and her family members filed this petition in order to help the borrower not to see the property delivered to this defendant being auction purchaser by receiving balance sale consideration by bank. Further, the appeal has been filed on bald and vague allegations. It is crystal clear that the applicant did not deny the loan availed by second defendant and her husband and the SARFAESI proceedings taken by the bank towards recovery of money. Further the applicant never ever in possession of petition mentioned property and whileso he has no title over the same. Hence the applicant has no right to question the legal proceedings taken by the respondent for its recovery and thus the applicant in estopped at present.

21. This defendant submits that the right of second defendant and her husband to redeem the mortgage got extinguished when Sale Notice is caused. Besides, the first defendant bank also adopted due process of law in bringing the property for sale through Court Auction. Thus, at a belated stage the applicant filed this S.A. by colluding with second defendant and her family member by challenging the procedure of bank in causing Sale Notice etc., which is not correct. this defendant submits that the Sale Notice caused by the bank is valid and this defendant is also a successful bidder and also paid 25% of bid amount. This defendant is also hereby giving undertaking to pay the balance bid amount immediately on directing it to do so by this Hon'ble Court. Hence, there are no merits in the appeal. The defendant submits that the applicant never ever exercised his alleged right over the said property and was also not in possession at any point of time. As such he is not entitled to any interim relief of injunction, since there is no prima facie and balance of convenience in his favour.

Therefore, it is prayed that this Hon'ble court may be pleased to dismiss the appeal with costs and thus render justice.

ADVOCATE FOR RESPONDENT **4TH RESPONDENT**

VERIFICATION

I, the 4th Respondent/Plaintiff above named do hereby declare that the facts stated above are true and correct to the best of my knowledge and I signed the same at Coimbatore on

4TH RESPONDENT

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